

Submission ACCT1-PS1-SUB01

Question ACCT1-PS1-Q01

scratch: show step

1. Dr Cash 466; Cr Service Revenue 466
 2. Dr Supplies 465; Cr Accounts Payable 465
 3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.
- => FINAL: Dr Cash 466/Cr Revenue 466; Dr Supplies 465/Cr A/P 465; A=L+E remains balanced (check units/interpretation)

Question ACCT1-PS1-Q02

scratch: show step

1. Monthly revenue=1044/12=87
 2. Dr Unearned Revenue 87; Cr Service Revenue 87
 3. Remaining liability=957
- => FINAL: Dr Unearned Revenue 87; Cr Revenue 87; liability=957 (check units/interpretation)

Question ACCT1-PS1-Q03

scratch: show step

1. Assets = Liabilities + Equity
 2. Equity=1848-771=1077
 3. The equation must balance after every recorded transaction.
- => FINAL: equity=\$1077; assets=liabilities+equity (check units/interpretation)

Question ACCT1-PS1-Q04

scratch: show step

1. Current ratio=1765/1101=1.60
 2. Above 1 means current assets exceed current liabilities, not that all assets are cash.
- => FINAL: current ratio=1.60; assets exceed liabilities if ratio>1 (check units/interpretation)

Question ACCT1-PS1-Q05

scratch: show step

1. Cash receipt before performance does not by itself create earned revenue.
 2. Record contract liability/unearned revenue, then recognize revenue as the performance obligation is satisfied.
- => FINAL: record unearned revenue first; recognize revenue as performance occurs (check units/interpretation)

Question ACCT1-PS1-Q06

scratch: show step

1. Dr Cash 662; Cr Service Revenue 662
 2. Dr Supplies 431; Cr Accounts Payable 431
 3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.
- => FINAL: Dr Cash 662/Cr Revenue 662; Dr Supplies 431/Cr A/P 431; A=L+E remains balanced (check units/interpretation)